

EXECUTIVE SUMMARY

Decoding Customer Value: A SQL-Driven Retention Strategy

Business Situation

A D2C fashion brand with 3,900 customers operates an active promotional program but lacks a structured customer intelligence framework. The objective of this analysis was to determine whether customer retention is driven by genuine loyalty or by continuous discounting and to identify opportunities for profitable growth.

Key Findings

- The customer base generated \$233,081 in revenue from 3,900 customers.
- 57% of customers (2,223) purchase without relying on promotions, while 43% (1,677) remain promo-dependent.
- Champion customers (873 customers) represent the brand's strongest segment, combining high spend (\$65.64 average), frequent purchases (34.3 average previous purchases), and zero promo dependency.
- Promo Convert Target customers (564 customers) represent the highest-value opportunity. They have the highest Customer Value Score (0.619), spend levels similar to Champions, and extensive purchase history (39.5 previous purchases), yet remain fully dependent on promotions.
- Clothing is the most common category among high-value customers. Based on the brand's Geographic Opportunity Score (which weighs spend and previous purchases against promo dependency across the full customer base), Arizona, Alaska, Pennsylvania, Virginia, and Tennessee emerge as the strongest high-value markets.
- Age does not meaningfully differentiate high-value customers — ideal customers are spread almost evenly across all adult age groups (18–70), so age is not a reliable targeting variable in this dataset.

Strategic Recommendations

1. Launch a 90-Day Promotional Sunset Program

Gradually reduce discounts for the 564 Promo Convert Target customers through a phased approach, replacing monetary discounts with loyalty benefits before transitioning to fully organic purchasing.

2. Protect Champion Customers

Avoid unnecessary discounting and focus on exclusive access, recognition, and loyalty-driven engagement.

3. Prioritize High-Value Markets

Increase marketing investment in Arizona, Alaska, Pennsylvania, Virginia, and Tennessee, where customers demonstrate stronger value and lower discount dependence based on the Geographic Opportunity Score.

4. Acquire More Ideal Customers

Promote Clothing-led campaigns and avoid discount-heavy acquisition strategies that encourage long-term promo dependency. Because age is not a differentiating factor among ideal customers, acquisition targeting should be driven by category and geography rather than age.

Conclusion

The analysis shows that the brand already possesses a strong foundation of organically loyal customers. By protecting Champions, gradually transitioning Promo Convert Targets away from discounts, and focusing acquisition efforts on high-value customer profiles, the company can reduce promotional dependence, improve profitability, and strengthen long-term customer retention.

Note on Data Interpretation:

This analysis is based solely on transactional and behavioral data; the source dataset does not contain timestamps or explicit churn labels. **Previous_Purchases** is used as a proxy for customer tenure, while geographic analysis represents U.S. state-level patterns rather than city-level insights.

Discount_Applied and **Promo_Code_Used** are treated as a single feature because they are perfectly correlated in this dataset. Additionally, discount usage shows a strong gender-based concentration in the available data: no female customers received discounts, while approximately 63% of male customers used discounts. Therefore, segments such as **Non-Promo Dependent**, **Champion**, and **Ideal Customer** should be interpreted as reflections of the observed dataset patterns rather than evidence of confirmed gender-based purchasing behavior.